Illinois · Income tax

Illinois won't follow the federal 100% bonus

Public Act 104-0453 decouples Illinois from federal 100% bonus depreciation under IRC §168(n) for tax years beginning on or after Jan 1, 2026 — add it back on IL-4562. Schedule M moves too. Swipe →

State **Illinois Dept of Revenue** FY 2026-15 ✓

Income tax · Form and treatment changes

Two changes, two start years

Bonus depreciation decoupling	IRC §168(n)	TY 2026
Retirement pay to line 14	Schedule M	TY 2025

Source: Illinois bulletin FY 2026-15

State Illinois Dept of Revenue

Income tax · Form and treatment changes

Practitioner note

1. Federal side: for property acquired and placed in service after Jan 19, 2025, bonus depreciation is 100% of the basis of the property.

2. Illinois side: for tax years beginning on or after Jan 1, 2026, Illinois decouples from that federal 100% bonus depreciation under IRC § 168(n) — the difference runs through Form IL-4562.

3. Schedule M: from tax year 2025, certain retirement payments made directly to retired partners reported on Schedule K-1-P, and the beneficiary share of retirement payments reported on Schedule K-1-T, go on Schedule M line 14 instead of IL-1040 line 5.

4. Forms touched: IL-1040, Schedule M (lines 14 and 18), Schedule K-1-P, Schedule K-1-T, and